

2.5 Making human resource decisions

Paper 2 / Theme 2 · Edexcel GCSE Business 1BS0

Standalone question bank — with original figures, charts, diagrams

Each question carries its full case-study extract (text), data tables, AND embedded original-paper pages for any figures / charts / bar-gate graphs / diagrams / photos. Print and revise without needing the original papers.

- **Total questions:** 36
- **Total marks:** 112
- **Sub-topics covered:** 4
- **Questions with embedded source pages:** 36
- **Original PDF pages embedded:** 46

By series:

- **Specimen SAMs:** 6 questions
- **June 2019:** 6 questions
- **Nov 2020:** 6 questions
- **Nov 2021:** 4 questions
- **June 2022:** 3 questions
- **June 2023:** 5 questions
- **June 2024:** 6 questions

2.5.1 Organisational structures (12 questions)

Specimen SAMs · Paper 2 · Q2(d) · \$A

Explain

3 marks

DATA FOR QUESTION 2

Table 1 contains information about a business. Sales revenue: £300 000. Cost of sales: £210 000. Gross profit: £90 000.

SOURCE PAGES FROM ORIGINAL PAPER

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). • Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b).
Level 2	5–8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). • Draws a conclusion based on sound evaluation of business information and issues (AO3b).
Level 3	9–12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). • Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

Explain one impact of excessive communication within a business.

MARK SCHEME ANSWER

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. Productivity will fall (1) because workers would not be sure about which information to use (1), therefore more mistakes will be made, which reduces output (1). More workers will leave the business (1) because the excessive communication will demotivate them (1) resulting in the business having to incur the cost of employing new workers (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 3

Figure 1 shows sales volumes for a business during the first three months of 2016: January 3000, February 5000, March 4000. The selling price of the product is £500.

SOURCE PAGES FROM ORIGINAL PAPER

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(d) Explain **one** advantage to a business of providing ongoing training to its employees.

(3)

(Total for Question 1 = 8 marks)

Discuss the likely benefit to a business of having a decentralised organisational structure.

MARK SCHEME ANSWER

Indicative content: Decisions can be made faster (AO1b). Lower fixed costs (AO1b). This means that the business can respond to opportunities in the market before competitors do (AO3a). The business will no longer require a large head office because decisions are made in individual branches (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding... Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

DATA FOR QUESTION 3

Figure 1 shows the sales revenue of a business over three years. 2015: £750 000; 2016: £1 500 000; 2017: £825 000.

SOURCE PAGES FROM ORIGINAL PAPER

(c) Explain **one** method a business could use to differentiate its product.

(3)

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(d) Explain **one** possible barrier to effective communication within a business.

(3)

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Explain one possible barrier to effective communication within a business.

MARK SCHEME ANSWER

Award 1 mark for identification of a barrier, plus 2 further marks for explaining this barrier up to a total of 3 marks. Using technical language or jargon (1). This may confuse employees (1). As a result, employees may not carry out a task correctly (1). Having too many layers in the hierarchy (1). This may mean that messages have to pass through too many employees (1). Therefore, it makes it difficult for the business to respond quickly to change (1). Accept any other appropriate response. Answers that list more than one barrier with no explanation will be awarded a maximum of 1 mark.

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SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is a non-financial method of motivating an employee?

(1)

Select **one** answer.

- ☐ A Bonus
- ☐ B Commission
- ☐ C Job rotation
- ☐ D Remuneration

- (b) Which **one** of the following is a type of organisational structure?

(1)

Select **one** answer.

- ☐ A Freelance
- ☐ B Hierarchical
- ☐ C Permanent
- ☐ D Temporary

- (c) Explain **one** benefit to a business of using external recruitment to employ new staff.

(3)



Which one of the following is a type of organisational structure?

- A. Freelance
- B. Hierarchical
- C. Permanent
- D. Temporary

MARK SCHEME ANSWER

The only correct answer is B - Hierarchical. A is not correct because 'freelance' is not a type of organisational structure. C is not correct because 'permanent' is not a type of organisational structure. D is not correct because 'temporary' is not a type of organisational structure.

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(d) Explain **one** impact on a business from a lack of communication.

(3)

(Total for Question 1 = 8 marks)



P 6 1 6 4 7 A 0 3 2 4

3

Turn over ►



Explain one impact on a business from a lack of communication.

MARK SCHEME ANSWER

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. Employees will be unsure of what they have to do (1). As a result, they may start to make mistakes (1). Therefore, the quality of the good or service may fall (1). Employees may lack the information they need to do their job properly (1). Therefore, employee motivation may fall (1). Thus, employees may decide to leave the business causing staff shortages (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK. In 2017, KFC changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many KFC restaurants to run out of chicken. This led to a temporary closure of many KFC branches due to poor supplier reliability. As a result of these closures, KFC started losing market share to rival fast food restaurants such as Burger King. KFC used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share. The Colonel is working on it: 'THE CHICKEN CROSSED THE ROAD, JUST NOT TO OUR RESTAURANTS... WE'VE BROUGHT A NEW DELIVERY PARTNER ONBOARD, BUT THEY'VE HAD A COUPLE OF TEETHING PROBLEMS - GETTING FRESH CHICKEN OUT TO 900 RESTAURANTS ACROSS THE COUNTRY IS PRETTY COMPLEX. WE WON'T COMPROMISE ON QUALITY, SO NO DELIVERIES HAS MEANT SOME OF OUR RESTAURANTS ARE CLOSED, AND OTHERS ARE OPERATING A LIMITED MENU, OR SHORTENED HOURS. SHOUT OUT TO OUR RESTAURANT TEAMS WHO ARE WORKING FLAT OUT TO GET US BACK UP AND RUNNING AGAIN.'

DATA FOR QUESTION 6

In order to regain its lost market share, KFC considered two options: Option 1: lower prices. Option 2: use viral advertising.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

The Colonel is working on it.

THE CHICKEN CROSSED THE ROAD, JUST NOT TO OUR RESTAURANTS...

WE'VE BROUGHT A NEW DELIVERY PARTNER ONBOARD, BUT THEY'VE HAD A COUPLE OF TEETHING PROBLEMS - GETTING FRESH CHICKEN OUT TO 900 RESTAURANTS ACROSS THE COUNTRY IS PRETTY COMPLEX!

WE WON'T COMPROMISE ON QUALITY, SO NO DELIVERIES HAS MEANT SOME OF OUR RESTAURANTS ARE CLOSED, AND OTHERS ARE OPERATING A LIMITED MENU, OR SHORTENED HOURS.

SHOUT OUT TO OUR RESTAURANT TEAMS WHO ARE WORKING FLAT OUT TO GET US BACK UP AND RUNNING AGAIN.

Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK.

In 2017, *KFC* changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many *KFC* restaurants to run out of chicken. This led to a temporary closure of many *KFC* branches due to poor supplier reliability.

As a result of these closures, *KFC* started losing market share to rival fast food restaurants such as Burger King. *KFC* used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share.

(Source: adapted from <https://www.standard.co.uk/news/uk/kfc-apologises-for-chicken-shortage-with-witty-fck-were-sorry-advert-a3774321.html> and <https://www.theguardian.com/business/2018/feb/19/kfc-uk-closed-chicken-shortage-fash-food-contract-delivery-dhl>)

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6 (a) State **one** job role that may be found in a fast food outlet such as *KFC*.

(1)

(b) Outline **one** benefit to *KFC* of using social media to interact with its customers.

(2)



15

Turn over ►

State one job role that may be found in a fast food outlet such as KFC.

MARK SCHEME ANSWER

Award 1 mark for stating one job role that may be found in a fast food outlet such as KFC. Restaurant manager (1). Food preparation shift leader/team leader (1). Drive-thru serving staff (1). Accept any other appropriate response. Do not accept job roles that would not be appropriate to a fast food outlet such as KFC, for example shelf stackers.

DATA FOR QUESTION 1

Figure 1 shows the organisational structure of a business. Figure 1: Manager at top, with five Employees boxes underneath connected directly to the Manager.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

1 Figure 1 shows the organisational structure of a business.

(a) Which **one** of the following organisational structures is shown in Figure 1?

(1)



Figure 1

Select **one** answer.

- ☐ **A** Decentralised
- ☐ **B** Flat
- ☐ **C** Hierarchical
- ☐ **D** Remote

(b) Which **one** of the following documents states the qualities an employer is looking for in a new employee?

(1)

Select **one** answer.

- ☐ **A** Application form
- ☐ **B** CV
- ☐ **C** Job description
- ☐ **D** Person specification



Which one of the following organisational structures is shown in Figure 1?

- A. Decentralised
- B. Flat

C. Hierarchical

D. Remote

MARK SCHEME ANSWER

B - Flat

DATA FOR QUESTION 3

Figure 2 shows the market share of each business in a market. Business A: 34.2%, Business B: 23.8%, Business C: 21.3%, Business D: 12.5%, Business E: unknown.

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(c) Explain **one** reason why having a post-sales service may be important to a business.

(3)

(d) Explain **one** impact on a business from reducing the size of its workforce.

(3)

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Explain one impact on a business from reducing the size of its workforce.

MARK SCHEME ANSWER

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks.

The labour costs of the business may fall (1). This is because the business will not have to pay as many wages/salaries to workers (1). Thus, the break-even point of the business will fall (1).

The motivation of the remaining staff may fall (1). This is because they may be worried about losing their jobs (1). Therefore, the business may experience a decrease in productivity (1).

Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 1

Figure 1 shows a bar gate stock graph with stock held (in units) on the y-axis and number of days on the x-axis. The graph shows stock fluctuating between approximately 600 and 2,500 units over 60 days.

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(b) Which **one** of the following is a barrier to effective communication?

(1)

Select **one** answer.

- ☐ **A** New information
- ☐ **B** New machinery
- ☐ **C** Jargon
- ☐ **D** Job description



P 6 5 5 6 3 A 0 3 2 8

3

Turn over ►



Which one of the following is a barrier to effective communication?

- A. New information
- B. New machinery

C. Jargon

D. Job description

MARK SCHEME ANSWER

The only correct answer is C – Jargon. A is not correct because this is not a barrier to effective communication. B is not correct because this is not a barrier to effective communication. D is not correct because this is not a barrier to effective communication.

DATA FOR QUESTION 2

Table 1 contains financial information about a business. Sales revenue: £900 000; Cost of sales: £325 000; Other operating expenses and interest: £175 000; Net profit: £400 000.

SOURCE PAGES FROM ORIGINAL PAPER

(e) Explain **one** reason why a business may decide to reduce the size of its workforce.

(3)

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(Total for Question 2 = 12 marks)

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Explain one reason why a business may decide to reduce the size of its workforce.

MARK SCHEME ANSWER

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks. The business may be suffering from a fall in demand for its products (1). As a result, it may not have enough cash inflows to be able to pay its employees. (1). Therefore, the business may have to reduce its workforce to prevent failure (1). New technology may mean that an employee can be replaced by a machine (1). This is because a machine can produce items much faster than an employee (1). As a result, the productivity of the business may increase by reducing the workforce (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 2

Table 1 contains information about a machine that a business is considering purchasing. Total profit from the machine: £500 000; Length of time the business will own the machine: 5 years; Cost of the machine: £200 000.

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(d) Explain **one** method a business could use to improve the quality of its products.

(3)

(e) Explain **one** disadvantage to a business of having a flat organisational structure.

(3)

(Total for Question 2 = 12 marks)



P 7 5 5 2 6 A 0 5 2 4

5

Turn over ►

Explain one disadvantage to a business of having a flat organisational structure.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. One manager may be responsible for many sub-ordinates (1). As a result, they have too much work to do (1). Therefore, costly mistakes may be made (1). Employees may not have self-discipline (1). Therefore, they may exploit the lack of supervision (1). Therefore, productivity may fall (1). Accept any other appropriate disadvantage. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie. In 2019, Cineworld had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at Cineworld cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive. These factors led to Cineworld making a £537 million loss in 2022, leaving the company close to failure. The Cineworld share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments. Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, Cineworld has so far refused to do this. It still charges £18.69 for its most expensive tickets.

DATA FOR QUESTION 7

Figure 4 shows the UK market share of the four largest cinema chains in 2016 and 2019. Odeon: 21.9% (2019), 24.3% (2016); Showcase: 6.0% (2019), 5.6% (2016); Vue: 20.0% (2019), 20.4% (2016); Cineworld: 23.0% (2019), 25.4% (2016).

SOURCE PAGES FROM ORIGINAL PAPER



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(c) Outline **one** likely responsibility for a manager of a *Cineworld* cinema.

(2)



17

Turn over ►

SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie.

In 2019, *Cineworld* had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at *Cineworld* cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive.

These factors led to *Cineworld* making a £537 million loss in 2022, leaving the company close to failure. The *Cineworld* share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments.



(Source: Chaz Bharj / Alamy Stock Photo)

Figure 3

Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, *Cineworld* has so far refused to do this. It still charges £18.69 for its most expensive tickets.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

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Outline one likely responsibility for a manager of a Cineworld cinema.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining likely responsibility for a manager of a Cineworld cinema. Award a maximum of 1 mark if points are not linked. The manager may have to lead teams of ice cream and ticket salespeople (1). This may ensure that they do their job properly (1). The manager may have to decide which films go on which screens (1). This may allow popular movies to be shown in auditoriums with more seats (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

2.5.2 Effective recruitment (9 questions)

Specimen SAMs · Paper 2 · Q2(a) · \$A

MCQ

2 marks

DATA FOR QUESTION 2

Table 1 contains information about a business. Sales revenue: £300 000. Cost of sales: £210 000. Gross profit: £90 000.

SOURCE PAGES FROM ORIGINAL PAPER

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	- Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). - Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). - Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b).
Level 2	4–6	- Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). - Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). - Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b).
Level 3	7–9	- Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). - Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). - Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Which two of the following documents would be used by a business as part of its recruitment process?

- A. Person plan
- B. Job specification
- C. Person specification
- D. Job description
- E. Job plan

MARK SCHEME ANSWER

C, D

DATA FOR QUESTION 2

Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £100 000; Cost of new machine: £400 000.

SOURCE PAGES FROM ORIGINAL PAPER

- 2 (a) Which **two** of the following are likely to be sent to a business by a person applying for a job?

Select **two** answers.

(2)

- ☐ A Application form
- ☐ B CV
- ☐ C Job advert
- ☐ D Job description
- ☐ E Person specification

- (b) Which **two** of the following are likely to increase the productivity of a business?

Select **two** answers.

(2)

- ☐ A Excessive communication
- ☐ B Pressure groups
- ☐ C Retraining employees
- ☐ D Increased product range
- ☐ E Introducing new technology

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Which two of the following are likely to be sent to a business by a person applying for a job?

- A. Application form
- B. CV

- C. Job advert
- D. Job description
- E. Person specification

MARK SCHEME ANSWER

A - Application form; B - CV (2)

SOURCE PAGES FROM ORIGINAL PAPER

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is a non-financial method of motivating an employee?

(1)

Select **one** answer.

- ☐ A Bonus
☐ B Commission
☐ C Job rotation
☐ D Remuneration

- (b) Which **one** of the following is a type of organisational structure?

(1)

Select **one** answer.

- ☐ A Freelance
☐ B Hierarchical
☐ C Permanent
☐ D Temporary

- (c) Explain **one** benefit to a business of using external recruitment to employ new staff.

(3)



Explain one benefit to a business of using external recruitment to employ new staff.

MARK SCHEME ANSWER

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. Employees from outside the business will bring new ideas to the business (1). Therefore, the workforce may become more productive (1). As a result, the average total cost of producing products may fall (1). External employees will have a different way of thinking to employees who already work for the business (1). As a result, creativity may improve (1). Thus, the business may be able to find new ways of gaining a competitive advantage (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, Iceland enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million. Iceland believes this success has been due to improved marketing. It has introduced new products using the Slimming World and Millie's Cookies brand names. It also launched a new advertising campaign called 'The Power of Frozen'. In addition it has developed a new store format called 'The Food Warehouse'. These stores are much larger than a normal Iceland store which allows them to stock more luxury products. Iceland hopes that The Food Warehouse will help it to appeal to high-income customers and it plans to open more stores. In 2018, Iceland received positive publicity from its decision to ban all plastic packaging on its own-brand products by 2023. It intends to replace plastic with recycled paper, as shown in Figure 3. A survey of 5,000 of its customers showed that 80% of them agreed with the change. Pressure groups, such as Friends of the Earth, have welcomed Iceland's decision. Plastic waste has caused pollution of the world's oceans and has killed marine life. Pressure groups hope that Iceland's decision will be repeated by other supermarkets in the UK. (Source: adapted from <https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products> and <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

DATA FOR QUESTION 7

Figure 4 shows information about the change in Iceland's sales revenue between 2013 and 2017.
Percentage change in sales revenue: 2013: 1.1; 2014: 2.7; 2015: -4.4; 2016: -2.7; 2017: 2.0.

ADDITIONAL INFORMATION

In order to recruit employees for its new 'The Food Warehouse' stores, Iceland is considering two options:
Option 1: offer permanent contracts. Option 2: offer temporary contracts.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, *Iceland* enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million.

Iceland believes this success has been due to improved marketing. It has introduced new products using the Slimming World and Millie's Cookies brand names. It also launched a new advertising campaign called 'The Power of Frozen'. In addition it has developed a new store format called 'The Food Warehouse'. These stores are much larger than a normal *Iceland* store which allows them to stock more luxury products. *Iceland* hopes that The Food Warehouse will help it to appeal to high-income customers and it plans to open more stores.



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In 2018, *Iceland* received positive publicity from its decision to ban all plastic packaging on its own-brand products by 2023. It intends to replace plastic with recycled paper, as shown in Figure 3. A survey of 5,000 of its customers showed that 80% of them agreed with the change. Pressure groups, such as Friends of the Earth, have welcomed *Iceland's* decision. Plastic waste has caused pollution of the world's oceans and has killed marine life. Pressure groups hope that *Iceland's* decision will be repeated by other supermarkets in the UK.



Figure 3: *Iceland's* new packaging

(Source: adapted from <https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products> and <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

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In order to recruit employees for its new 'The Food Warehouse' stores, *Iceland* is considering two options:

Option 1: offer permanent contracts

Option 2: offer temporary contracts.

(d) Justify which **one** of these two options *Iceland* should choose.

(9)

Handwriting practice area with 20 horizontal lines.



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Indicative content: By offering permanent contracts, The Food Warehouse employees will feel reassured since the business is new and untested (AO2). By giving employees temporary contracts, Iceland gives itself a lot more flexibility since the new grocery concept may not be a success (AO2). This may increase the motivation and loyalty of the new employees, which may lead to better productivity and customer service. This may make The Food Warehouse appeal to high-income food shoppers (AO3a). Therefore, it has the ability not to renew contracts for employees if demand for the new concept ends up being lower than expected and it has to close stores (AO3a). However, The Food Warehouse is an untried concept and it may prove to be unsuccessful. This may result in permanent employees being under-used if the stores do not attract as many customers as hoped. Therefore, employing staff on permanent contracts could cause Iceland to incur unnecessarily high wage costs (AO3b). However, some employees may not like the lack of certainty provided by temporary contracts. Therefore, the most productive employees may prefer to work for Tesco, which could be offering permanent contracts. As a result, Iceland may end up employing demotivated employees with low productivity who could damage its ability to attract high-income consumers since customer service may not be as high (AO3b).

Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b).

Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b).

Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

DATA FOR QUESTION 1

Figure 1 shows the organisational structure of a business. Figure 1: Manager at top, with five Employees boxes underneath connected directly to the Manager.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

1 Figure 1 shows the organisational structure of a business.

(a) Which **one** of the following organisational structures is shown in Figure 1?

(1)



Figure 1

Select **one** answer.

- ☐ A Decentralised
- ☐ B Flat
- ☐ C Hierarchical
- ☐ D Remote

(b) Which **one** of the following documents states the qualities an employer is looking for in a new employee?

(1)

Select **one** answer.

- ☐ A Application form
- ☐ B CV
- ☐ C Job description
- ☐ D Person specification



Which one of the following documents states the qualities an employer is looking for in a new employee?

A. Application form

B. CV

C. Job description

D. Person specification

MARK SCHEME ANSWER

D - Person specification

DATA FOR QUESTION 1

Figure 1 shows a bar gate stock graph with stock held (in units) on the y-axis and number of days on the x-axis. The graph shows stock fluctuating between approximately 600 and 2,500 units over 60 days.

SOURCE PAGES FROM ORIGINAL PAPER

(c) Explain **one** benefit to a business of allowing its employees to work flexible hours.

(3)

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(d) Explain **one** disadvantage to a business of using a just in time (JIT) system of stock control.

(3)

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(Total for Question 1 = 8 marks)

4



Explain one benefit to a business of allowing its employees to work flexible hours.

MARK SCHEME ANSWER

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. This may make the business a more desirable place to work (1) because workers will now be able to fit work in around other commitments such as childcare (1). Therefore, the business may be able to attract better quality employees (1). This may allow the business to increase its efficiency (1). This is because workers may be more motivated to work for an employer that provides this level of flexibility (1). Thus, the business could find that total variable costs decrease (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 2

Table 1 contains financial information about a business. Sales revenue: £900 000; Cost of sales: £325 000; Other operating expenses and interest: £175 000; Net profit: £400 000.

SOURCE PAGES FROM ORIGINAL PAPER

- 2 (a) Which **two** of the following are documents produced by a business at the start of the recruitment process?

(2)

Select **two** answers.

- ☐ A Application form
- ☐ B Curriculum vitae (CV)
- ☐ C Job autonomy
- ☐ D Letter of application
- ☐ E Person specification

- (b) Which **two** of the following are services?

(2)

Select **two** answers.

- ☐ A Accountancy
- ☐ B Biscuits
- ☐ C Furniture
- ☐ D Hairdressing
- ☐ E Shoes

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Which two of the following are documents produced by a business at the start of the recruitment process? Select two answers.

A. Application form

- B. Curriculum vitae (CV)
- C. Job autonomy
- D. Letter of application
- E. Person specification

MARK SCHEME ANSWER

The only correct answers are A – Application form and E – Person specification. B is not correct because it would be produced by an applicant. C is not correct because it is not a document used in the recruitment process. D is not correct because it would be produced by an applicant.

DATA FOR QUESTION 2

Table 1 contains information about a machine that a business is considering purchasing. Total profit from the machine: £500 000; Length of time the business will own the machine: 5 years; Cost of the machine: £200 000.

SOURCE PAGES FROM ORIGINAL PAPER

- 2 (a) Which **two** of the following documents would be sent to a business by a person when applying for a job?

(2)

Select **two** answers.

- ☐ A Application form
- ☐ B Curriculum vitae (CV)
- ☐ C Job description
- ☐ D Performance review
- ☐ E Person specification

- (b) Which **two** of the following are stages in the sales process?

(2)

Select **two** answers.

- ☐ A Customer engagement
- ☐ B Longer opening hours
- ☐ C Market data
- ☐ D Product knowledge
- ☐ E Product promotion

Table 1 contains information about a machine that a business is considering purchasing.

Total profit from the machine	£500 000
Length of time the business will own the machine	5 years
Cost of the machine	£200 000

Table 1

- (c) Using the information in Table 1, calculate the average rate of return for the machine.

(2)

.....%



Which two of the following documents would be sent to a business by a person when applying for a job?

A. Application form

- B. Curriculum vitae (CV)
- C. Job description
- D. Performance review
- E. Person specification

MARK SCHEME ANSWER

The only correct answers are A - Application form and B - Curriculum vitae (CV). C is not correct because this would be produced by a business not a job applicant. D is not correct because this is not linked to the recruitment process. E is not correct because this would be produced by the business not a job applicant.

CASE STUDY EXTRACT

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, Popeyes has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, Popeyes had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become Popeyes' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside. However, Popeyes is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

DATA FOR QUESTION 6

In order to help increase the profit made by the Stratford branch of Popeyes, the manager is considering the following two options: Option 1: employ workers on flexible hours. Option 2: employ workers full-time.

SOURCE PAGES FROM ORIGINAL PAPER

In order to help increase the profit made by the Stratford branch of *Popeyes*, the manager is considering the following two options:

Option 1: employ workers on flexible hours

Option 2: employ workers full-time.

(c) Justify which **one** of these two options *Popeyes* should choose.

(9)

Handwriting practice lines for the answer.

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS

15

Turn over ►



SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, *Popeyes* has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, *Popeyes* had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become *Popeyes*' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside.



(Source: © Nigel J. Harris/Shutterstock)

Figure 2

However, *Popeyes* is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)



Justify which one of these two options Popeyes should choose.

MARK SCHEME ANSWER

Indicative content: This gives managers at Popeyes the ability to minimise costs since they only need to pay chefs and servers a wage during busy times such as lunch and can send them home later in the afternoon when it is quiet (AO2). This provides Popeyes employees with a set amount of income that they would earn each week making it easier to attract staff to the fast-food restaurants (AO2). Therefore, the cost of preparing and making chicken will fall, since Popeyes will be able to match the number of workers to the times when it is busy or quiet in the restaurant. As a result, the profit made by each restaurant may increase (AO3a). This may allow Popeyes to be able to cope with periods of high demand. Thus, each restaurant may have reduced wait times and a more professional service. This may encourage repeat custom, allowing profits to rise (AO3a). However, trained workers like chefs may resent only working for part of the day and may choose to work for other fast-food restaurants that offer more security regarding pay and conditions. Therefore, Popeyes may struggle to recruit enough high-quality staff for its restaurants. This may increase wait times and reduce revenues and profit (AO3b). However, the impact on profit will depend on whether the extra costs of employing workers full-time is offset by the improved competitiveness of the restaurant, and it may lead to higher prices compared to rivals in a competitive fast-food market (AO3b). Level 1 (1-3): Limited application, simple justification. Level 2 (4-6): Sound application, justification based on sound evaluation. Level 3 (7-9): Detailed application throughout, clear justification based on thorough evaluation.

2.5.3 Effective training and development (3 questions)

Specimen SAMs · Paper 2 · Q1(d) · \$A

Explain

3 marks

SOURCE PAGES FROM ORIGINAL PAPER

Question number	Indicative content	Mark
7(d) Justify	- Sally has saved enough money to start her business and can therefore afford the costs associated with a franchise. (AO2). - Starting up on her own without buying a franchise will give Sally more freedom. She has her own ideas for differentiating her service, for example by the use of social media, and a franchise may not allow her to pursue some or all of them (AO2). - Becoming a franchisee means she could benefit from the established name that comes with taking out a franchise and will not have to spend time and money establishing her own name. There are established competitors in the market and a franchise name may help (AO3a). - If the franchise does not allow Sally to implement some of her ideas to target a younger target market, her service may not be differentiated from rival personal trainers, such as 'Vitality' (AO3a). - Establishing a new business, especially in a market where competition exists, requires strong brand recognition. Sally is likely to get this from a franchise in a way that she is unlikely to gain by herself. Despite the costs involved, this appears to be the most suitable option for Sally at this time, especially given the worsening economic climate, which will only add to the uncertainty in this market (AO3b). - Starting up on her own without buying a franchise appears to be the best option for Sally. Although the franchise option would provide reassurance of an established name, the market she is entering does not have much competition (just two rivals). Her ideas for differentiating her business will undoubtedly help her to stand out in a fairly small but growing market. Freedom is more important than brand name at this stage (AO3b).	(9) AO2=3 AO3a=3 AO3b=3

Explain one advantage to a business of providing ongoing training to its employees.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Ongoing training will make employees feel valued (1), which will result in workers working harder (1), therefore making the business more productive (1). Ongoing training will result in employees being able to work faster (1), which will result in higher productivity levels (1), therefore reducing the unit cost of making at item (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 2

Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £100 000; Cost of new machine: £400 000.

SOURCE PAGES FROM ORIGINAL PAPER

- 2 (a) Which **two** of the following are likely to be sent to a business by a person applying for a job?

Select **two** answers.

(2)

- ☐ A Application form
- ☐ B CV
- ☐ C Job advert
- ☐ D Job description
- ☐ E Person specification

- (b) Which **two** of the following are likely to increase the productivity of a business?

Select **two** answers.

(2)

- ☐ A Excessive communication
- ☐ B Pressure groups
- ☐ C Retraining employees
- ☐ D Increased product range
- ☐ E Introducing new technology

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Which two of the following are likely to increase the productivity of a business?

- A. Excessive communication
- B. Pressure groups

- C. Retraining employees
- D. Increased product range
- E. Introducing new technology

MARK SCHEME ANSWER

C - Retraining employees; E - Introducing new technology (2)

DATA FOR QUESTION 1

Figure 1 shows a diagram of the product life cycle with four phases (Phase 1, Phase 2, Phase 3, Phase 4), with sales rising and then declining.

SOURCE PAGES FROM ORIGINAL PAPER



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(c) Explain **one** reason why a business might use performance reviews with its employees.

(3)

(d) Explain **one** impact on a business of using flow production.

(3)

(Total for Question 1 = 8 marks)



P 7 1 0 6 0 A 0 3 2 4

3

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Explain one reason why a business might use performance reviews with its employees.

MARK SCHEME ANSWER

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks. It may provide the employee with the opportunity to give feedback to their line manager (1). Therefore, the business may be able to solve problems that frustrate the employee (1). As a result, the employee may feel more valued by the business (1). Managers will discuss whether the employee has met their targets (1). As a result, the employee is more likely to be focused on their job (1). Thus, the employee is more likely to be productive (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

2.5.4 Motivation (12 questions)

Specimen SAMs · Paper 2 · Q3(c) · \$A

Explain

3 marks

DATA FOR QUESTION 3

Figure 1 shows sales volumes for a business during the first three months of 2016: January 3000, February 5000, March 4000. The selling price of the product is £500.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an element of the marketing mix?

Select **one** answer.

(1)

- ☐ A Perseverance
- ☐ B Profit
- ☐ C Place
- ☐ D Persuasion

- (b) Which **one** of the following is an element of the design mix?

Select **one** answer.

(1)

- ☐ A Cost
- ☐ B Quality
- ☐ C Promotion
- ☐ D Price

- (c) Explain **one** benefit to a business of producing a high-quality product.

(3)

Explain one reason why a business may decide to pay its workers a bonus.

MARK SCHEME ANSWER

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks. The bonus will motivate workers (1) because they feel more valued by the business (1), therefore workers will work harder (1). The bonus will help attract the best workers (1). Therefore, the business will become more productive (1). This will result in lower unit costs (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 3

Figure 1 shows sales volumes for a business during the first three months of 2016: January 3000, February 5000, March 4000. The selling price of the product is £500.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an element of the marketing mix?

Select **one** answer.

(1)

- ☐ A Perseverance
- ☐ B Profit
- ☐ C Place
- ☐ D Persuasion

- (b) Which **one** of the following is an element of the design mix?

Select **one** answer.

(1)

- ☐ A Cost
- ☐ B Quality
- ☐ C Promotion
- ☐ D Price

- (c) Explain **one** benefit to a business of producing a high-quality product.

(3)

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Explain one drawback to a business of not being able to retain its employees.

MARK SCHEME ANSWER

Award 1 mark for identification of a drawback, plus 2 further marks for explaining this drawback up to a total of 3 marks. It will have to employ new workers (1) and therefore will have to spend money on recruitment (1). This increases the costs of the business (1). It could lose its most productive workers (1), therefore the business will become less efficient (1). As a result, the unit cost will increase (1). Accept any other appropriate response. Answers that list more than one drawback with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 3

Figure 1 shows the sales revenue of a business over three years. 2015: £750 000; 2016: £1 500 000; 2017: £825 000.

SOURCE PAGES FROM ORIGINAL PAPER



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(e) Discuss the impact on a business of giving employees permanent contracts.

(6)

Handwriting practice lines for the answer to Question 3(e).

(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



9

Turn over ►



Discuss the impact on a business of giving employees permanent contracts.

MARK SCHEME ANSWER

Indicative content: Workers employed on permanent contracts are more likely to feel secure in their job (AO1b). Workers employed on permanent contracts are less likely to leave the business (AO1b). Therefore, motivation may be higher, which may increase the productivity of the business. This will reduce the cost per unit (AO3a). Therefore, the business may save money on recruiting and training new workers. This may allow money to be spent in other areas of the business to improve competitiveness (AO3a). Level 1 (1-2 marks): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4 marks): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6 marks): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

CASE STUDY EXTRACT

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012. In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers. Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

DATA FOR QUESTION 4

Mind Candy case study (reduced workforce of software developers after 2013 losses).

SOURCE PAGES FROM ORIGINAL PAPER

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

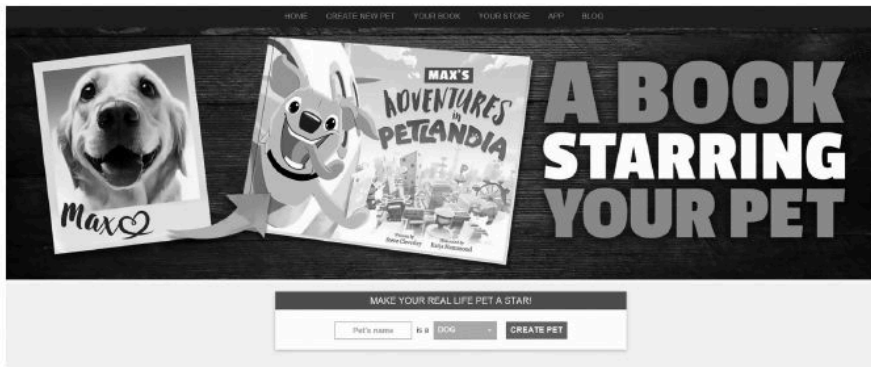
Write your answers in the spaces provided.



© Mind Candy

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012.

In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers.



(Source from: <https://www.petlandia.com/custom-book.html#create>)

Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

(Source from: 'Moshi Monsters maker Mind Candy fears administration as sales tumble further' by Christopher Williams, 11 OCTOBER 2016 © Telegraph Media Group Limited)



(b) Analyse the impact on *Mind Candy* of reducing the size of its workforce.

(6)

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(Total for Question 4 = 8 marks)

12



Analyse the impact on Mind Candy of reducing the size of its workforce.

MARK SCHEME ANSWER

Indicative content: This may make software developers that are still working for Mind Candy worried about keeping their jobs (AO2). This may reduce Mind Candy's fixed costs since they no longer have to pay web designers a salary (AO2). As a result, motivation of the remaining staff may fall. This could cause the quality of the apps and games produced to go down, reducing Mind Candy's competitive advantage (AO3a). This may reduce cash outflows, which may reduce the likelihood of business failure since the cash saved could be used to meet existing cash outflows (AO3a). Level 1 (1-2 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

CASE STUDY EXTRACT

In August 2017, UK supermarket group Sainsbury's decided to cut its costs by £500 million to remain competitive. One of the changes Sainsbury's made was to end its membership of Fairtrade. The Fairtrade scheme gives farmers in countries such as Kenya a higher price for their crops, such as tea. In return, Sainsbury's can use the Fairtrade logo on its products. This makes its groceries, such as bananas, more attractive to ethically-minded customers. Sainsbury's has decided to replace Fairtrade with its own scheme called 'Fairly Traded'. Critics of the change believe that it confuses customers. Protests about this change have already been held in London. Sainsbury's also decided to reduce its head office workforce by 1,000. This allowed the company to increase wages for its shop floor employees, including checkout operators and shelf stackers, by 4.4% to £8 per hour. This reduced the wage difference with Aldi, which pays £8.53 per hour. Sainsbury's wants to retrain shop floor employees to improve the customer service in its stores.

DATA FOR QUESTION 7

Sainsbury's case study. Figure 2 shows the market share of UK supermarkets in 2017. Tesco 27.8%; Sainsbury's 16.0%; Morrisons 10.5%; Asda 15.1%; Co-operative 7.0%; Aldi 6.2%; All other supermarkets 17.4%.

ADDITIONAL INFORMATION

Sainsbury's case study. In order to improve the motivation of its shop floor employees, Sainsbury's is considering two options: Option 1: retraining; Option 2: increase wages.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

In August 2017, UK supermarket group *Sainsbury's* decided to cut its costs by £500 million to remain competitive.

One of the changes *Sainsbury's* made was to end its membership of Fairtrade. The Fairtrade scheme gives farmers in countries such as Kenya a higher price for their crops, such as tea. In return, *Sainsbury's* can use the Fairtrade logo on its products. This makes its groceries, such as bananas, more attractive to ethically-minded customers.



© Fairtrade Foundation 2017

Sainsbury's has decided to replace Fairtrade with its own scheme called 'Fairly Traded'. Critics of the change believe that it confuses customers. Protests about this change have already been held in London.



© andrew aitchison

Sainsbury's also decided to reduce its head office workforce by 1,000. This allowed the company to increase wages for its shop floor employees, including checkout operators and shelf stackers, by 4.4% to £8 per hour. This reduced the wage difference with Aldi, which pays £8.53 per hour. *Sainsbury's* wants to retrain shop floor employees to improve the customer service in its stores.

(Source: adapted from <https://www.theguardian.com/business/2017/jul/09/sainsburys-finds-itself-in-hot-water-over-fairtrade-tea>)



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In order to improve the motivation of its shop floor employees, *Sainsbury's* is considering two options:

Option 1: retraining

Option 2: increase wages.

(d) Justify which **one** of these two options *Sainsbury's* should choose.

(9)

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MARK SCHEME ANSWER

Indicative content: Supermarket employees may gain more opportunities through being retrained. This may give them the option to work in other areas of the business such as unloading food or to use new technology such as automated checkouts (AO2). Increasing wages by 4.4% may close the gap between the pay at Sainsbury's and other supermarkets such as Aldi to only 53p per hour (AO2). This may make the job more interesting since it may give shop floor employees the ability to work in different parts of a Sainsbury's supermarket or allow them to develop new skills (AO3a). This may improve motivation because working in a supermarket is relatively low paid. The increase in pay may allow workers to buy more necessities and satisfy their basic needs (AO3a). However, retraining is more likely to benefit Sainsbury's than the employee. This is because the other jobs they may be trained to do within a supermarket may be at the same overall level of skill. Therefore, this may not result in increased motivation (AO3b). However, the wage increase still only gives employees £8 per hour and their wage is still lower than that of equivalent workers at other supermarkets. As a result, motivation may not increase and it is likely that, if anything, the increase in wages simply prevents demotivation (AO3b).

Level 1 (1-3 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b).

Level 2 (4-6 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b).

Level 3 (7-9 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

SOURCE PAGES FROM ORIGINAL PAPER

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is a non-financial method of motivating an employee?

(1)

Select **one** answer.

- ☐ A Bonus
- ☐ B Commission
- ☐ C Job rotation
- ☐ D Remuneration

- (b) Which **one** of the following is a type of organisational structure?

(1)

Select **one** answer.

- ☐ A Freelance
- ☐ B Hierarchical
- ☐ C Permanent
- ☐ D Temporary

- (c) Explain **one** benefit to a business of using external recruitment to employ new staff.

(3)



Which one of the following is a non-financial method of motivating an employee?

- A. Bonus
- B. Commission
- C. Job rotation
- D. Remuneration

MARK SCHEME ANSWER

The only correct answer is C - Job rotation. A is not correct because a 'bonus' is a financial method. B is not correct because 'commission' is a financial method. D is not correct because 'remuneration' is a financial method.

DATA FOR QUESTION 2

Table 1 contains financial information about a business. Sales revenue: £800 000, Cost of sales: £225 000, Gross profit: £575 000, Other operating expenses and interest: £200 000.

SOURCE PAGES FROM ORIGINAL PAPER

2 (a) Which **two** of the following are examples of goods?

(2)

Select **two** answers.

- ☐ A Cars
- ☐ B Education
- ☐ C Hairdressing
- ☐ D Televisions
- ☐ E Train journeys

(b) Which **two** of the following would allow a business to improve employee retention?

(2)

Select **two** answers.

- ☐ A Decreased remuneration
- ☐ B Excessive communication
- ☐ C Introducing job rotation
- ☐ D Providing training
- ☐ E Reduced employee autonomy

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Which two of the following would allow a business to improve employee retention?

- A. Decreased remuneration
- B. Excessive communication

- C. Introducing job rotation
- D. Providing training
- E. Reduced employee autonomy

MARK SCHEME ANSWER

C - Introducing job rotation; D - Providing training

DATA FOR QUESTION 2

Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £200,000; Cost of new machine: £200,000.

SOURCE PAGES FROM ORIGINAL PAPER

Table 1 contains information about a new piece of machinery that a business wants to purchase.

Average annual profit	£200 000
Cost of new machine	£200 000

Table 1

(c) Using the information in Table 1, calculate the average rate of return.

(2)

..... %

(d) Explain **one** advantage to a business of having motivated employees.

(3)



Explain one advantage to a business of having motivated employees.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Employees will enjoy working in the business (1). Therefore, they may be less likely to leave the business (1). As a result, the business will not have to incur the costs of recruiting new staff (1). This should increase the productivity of the employees (1). Therefore, the cost of producing each product should fall (1). As a result, the profit margin on each product should rise (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 3

Figure 2 shows a bar gate stock graph showing deliveries of raw materials to a business in June 2021. Three deliveries are labelled A, B and C. Maximum stock level approx 1,300; Re-order level approx 800; Buffer stock approx 100. Delivery A brings stock from approx 500 to 1,000 (500 units), Delivery B brings stock from approx 300 to 1,300 (1,000 units), Delivery C brings stock from approx 100 to 900 (800 units).

SOURCE PAGES FROM ORIGINAL PAPER

3 (a) Which **one** of the following is a fringe benefit?

(1)

Select **one** answer.

- ☐ A Company car
- ☐ B Job enrichment
- ☐ C Salary
- ☐ D Wages

Figure 2 shows a bar gate stock graph which shows the deliveries of raw materials to a business in June 2021. These deliveries are labelled A, B and C.

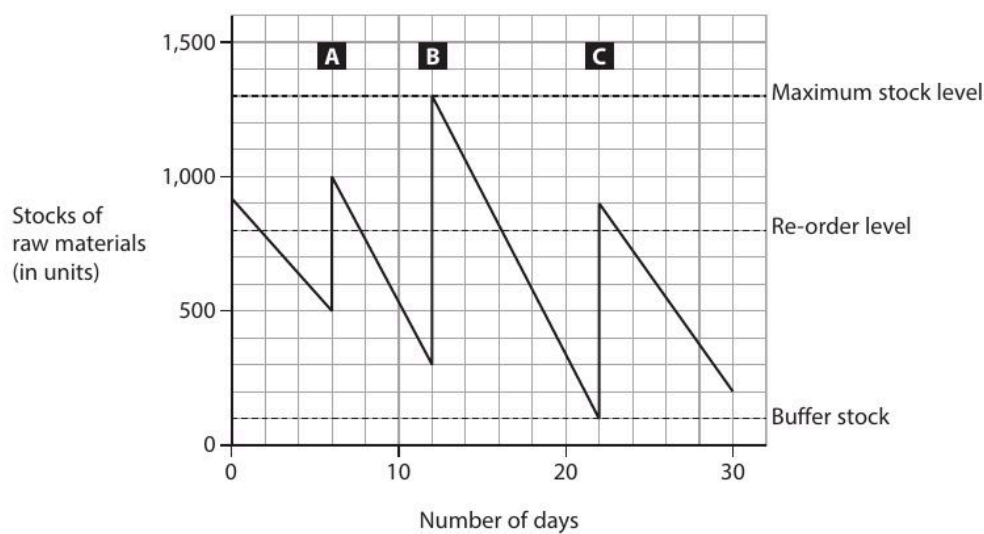


Figure 2

(b) Using the information in Figure 2, calculate the total amount of stock that was delivered to the business in June 2021. You are advised to show your workings.

(2)

..... units



P 7 1 0 6 0 A 0 7 2 4

7

Turn over ►

Which one of the following is a fringe benefit? Select one answer.

- A. Company car
- B. Job enrichment

C. Salary

D. Wages

MARK SCHEME ANSWER

The only correct answer is A – Company car. B is not correct because it is not a fringe benefit. C is not correct because it is not a fringe benefit. D is not correct because it is not a fringe benefit.

DATA FOR QUESTION 3

Figure 2 shows a bar gate stock graph showing deliveries of raw materials to a business in June 2021. Three deliveries are labelled A, B and C. Maximum stock level approx 1,300; Re-order level approx 800; Buffer stock approx 100. Delivery A brings stock from approx 500 to 1,000 (500 units), Delivery B brings stock from approx 300 to 1,300 (1,000 units), Delivery C brings stock from approx 100 to 900 (800 units).

SOURCE PAGES FROM ORIGINAL PAPER

(c) Explain **one** disadvantage to a business of having a poor relationship with its suppliers.

(3)

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(d) Explain **one** impact on a business of introducing job rotation.

(3)

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Explain one impact on a business of introducing job rotation.

MARK SCHEME ANSWER

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. The workforce may become more flexible (1). This is because employees will now be trained in different jobs (1). Therefore, if employees are absent, production does not have to stop (1). Employee motivation may increase (1). This is because job rotation makes their work more interesting (1). Therefore, the business may experience an increase in productivity (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 3

Figure 1 shows the bar gate stock graph for a business in June 2023. A and B represent deliveries of stock to the business.

SOURCE PAGES FROM ORIGINAL PAPER



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(c) Explain **one** reason why a business may use sponsorship to promote a product.

(3)

(d) Explain **one** disadvantage to a business of using remote working.

(3)



7

Turn over ►

Explain one disadvantage to a business of using remote working.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. It can create communication difficulties (1). This is because teams of people are not in a physical office environment at the same time (1). Therefore, the business may experience a decrease in employee motivation (1). Purchasing computer equipment and broadband access for employees may be expensive (1). This may increase the costs for a business (1). This may then lead to a fall in profit (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie. In 2019, Cineworld had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at Cineworld cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive. These factors led to Cineworld making a £537 million loss in 2022, leaving the company close to failure. The Cineworld share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments. Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, Cineworld has so far refused to do this. It still charges £18.69 for its most expensive tickets.

DATA FOR QUESTION 7

Figure 4 shows the UK market share of the four largest cinema chains in 2016 and 2019. Odeon: 21.9% (2019), 24.3% (2016); Showcase: 6.0% (2019), 5.6% (2016); Vue: 20.0% (2019), 20.4% (2016); Cineworld: 23.0% (2019), 25.4% (2016).

SOURCE PAGES FROM ORIGINAL PAPER

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 3 and read Extract B, then answer Question 7.

- 7 (a) Give **one** non-financial method to motivate employees in a business.

(1)

Figure 4 shows the UK market share of the four largest cinema chains in 2016 and 2019.

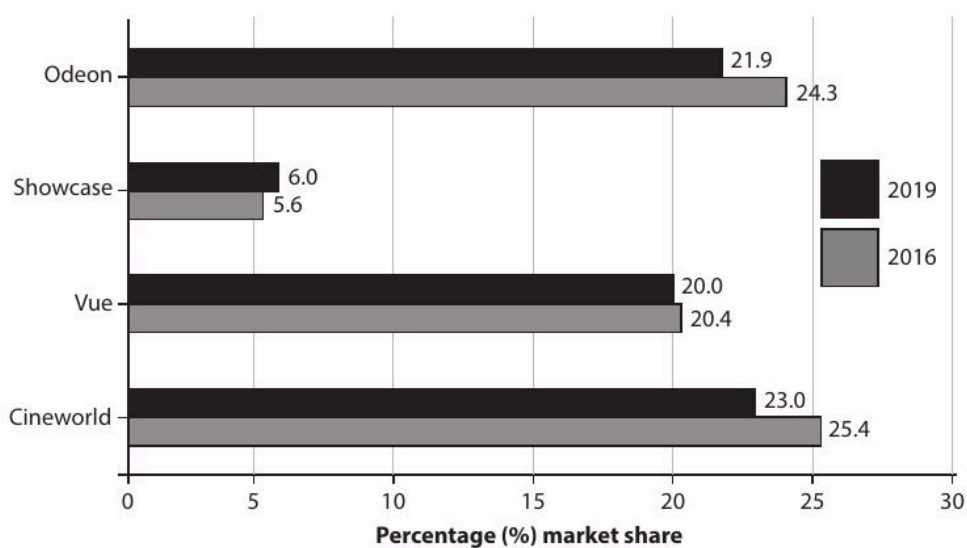


Figure 4

(Source: <https://www.bfi.org.uk/industry-data-insights/statistical-yearbook> 2017 and 2020)

- (b) Using the information in Figure 4, identify the only cinema chain that increased its market share in 2019.

(1)





SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie.

In 2019, *Cineworld* had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at *Cineworld* cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive.

These factors led to *Cineworld* making a £537 million loss in 2022, leaving the company close to failure. The *Cineworld* share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments.



(Source: Chaz Bharj / Alamy Stock Photo)

Figure 3

Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, *Cineworld* has so far refused to do this. It still charges £18.69 for its most expensive tickets.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

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Give one non-financial method to motivate employees in a business.

MARK SCHEME ANSWER

Award one mark for giving one non-financial method to motivate employees in a business. Job rotation (1). Job enrichment (1). Autonomy (1). Award 1 mark for any non-financial method that is reasonable. Do not award a mark for increased wages/salaries/remuneration, commission, fringe benefits and promotion.